

# The Value of Delayed Information: Predictive-Information Envelopes for Age-Limited Control

Envelopes, exact laws, and witnesses for age-limited decisions

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Working draft — v0.4 (battery v4 results integrated: dead zone observed, VAD reversal,  
one certified witness)

## Abstract

A controller that acts on information of age  $D$  — a sensing delay, a telemetry lag, a stale cache — can outperform the best static policy only to the extent that the delayed observation still *predicts* the current state. Our companion systems work [1] proves this exactly for symmetric two-state Markov capacity ( $\Delta(D) = \frac{1}{2}r(D)$ , the autocorrelation at the sensing lag) with a  $\beta$ -mixing converse. This paper supplies the general theory. We (i) isolate the exact object — the *Bayes envelope*  $\Delta_Y = \mathbb{E}[\psi(\mu_Y)] - \psi(\bar{\mu})$ , the expected excess value of posterior over prior beliefs; (ii) prove the universal *predictive-information envelope*  $0 \leq \Delta_Y \leq \Omega\sqrt{\frac{1}{2}I(X;Y)}$  for any bounded objective with oscillation  $\Omega$ , by Pinsker’s inequality applied to the posterior process; (iii) derive the *bit-budget corollary*: a telemetry path delivering  $b$  bits per decision caps feedback value at  $\Omega\sqrt{(b\ln 2)/2}$  regardless of what is encoded — compression can preserve but never create feedback value; (iv) show the envelope is *tight to leading order* in the canonical case: for the symmetric binary chain  $I = \frac{r^2}{2} + O(r^4)$ , so the bound reads  $\Omega(\frac{|r|}{2} + O(|r|^3))$  against the exact  $\frac{1}{2}|r|$ ; (v) prove by a two-bit construction that no universal equality  $\Delta = f(I)$  can hold: mutual information is a scalar, decision value is a geometry, and two observations with identical  $I$  can carry all or none of the decision-relevant distinction; and (vi) give an exactness theory for binary state in which the local decision geometry at the prior sets the correlation exponent: for finite action sets the value of a delayed sample is exactly a sum of *hinges* in the lag covariance with sign-dependent dead zones; for smooth objectives it is exactly quadratic (squared error:  $\Delta = C^2/\pi(1 - \pi)$ ); the companion’s linear law is the prior-on-kink boundary case. A nine-series battery (acoustics, bioacoustics, space weather, seismology, plus synthetic controls) finds no detectable history excess (equivalence-bounded within a registered margin) on the series where lag-1-matched surrogates predict none, observes the envelope’s predicted  $O(r^2)$  tightness on real data, and inverts the theorem into confidence-certified lower bounds on history information where the processes are non-Markov.

## 1 Introduction

Everywhere a controller acts on stale state — a scheduler admitting jobs against capacity sensed seconds ago, a trader on delayed quotes, a relay on an outdated channel estimate — the same question recurs: *what is the value of information of age  $D$ ?* The age-of-information literature

[7] measures freshness; freshness, however, has no decision semantics: a maximally fresh sample of an i.i.d. process is worthless, and a stale sample of a slowly-mixing one is nearly as good as the present. Our companion systems paper [1] made this precise in one setting, proving that for symmetric two-state Markov capacity the advantage of age- $D$  feedback over the best static policy is *exactly*  $\Delta(D) = \frac{1}{2}r(D)$  — the autocorrelation at the sensing lag — and measuring the law on a live GPU cluster. This paper supplies the theory that result belongs to. The thesis is one line:

*Age matters only through predictive information, and predictive information matters only through the Bayes envelope.*

Concretely: **(C1)** we isolate the exact object — the Bayes envelope  $\Delta_Y = \mathbb{E}[\psi(\mu_Y)] - \psi(\bar{\mu})$ , classical in decision theory [2, 4, 3] — and prove the universal *predictive-information envelope*  $\Delta_Y \leq \Omega\sqrt{I(X;Y)/2}$  (Theorem 2), with the *bit-budget corollary*:  $b$  bits of telemetry per decision cap feedback value at  $\Omega\sqrt{(b\ln 2)/2}$ , so compression can preserve but never create feedback value. **(C2)** We show the envelope is *sharp where it matters*: on the canonical binary chain it matches the exact law to  $O(r^3)$  (Proposition 5) — and the battery of §7 *observes* this tightness on real data, including the predicted  $O(r^2)$  correction. **(C3)** We prove no universal equality  $\Delta = f(I)$  exists for bounded objectives (Proposition 6): information is a scalar, value is a geometry. This sharpens against the classical exception — for *logarithmic* (unbounded) utility, Kelly and Barron–Cover [5, 6] show the value of side information *equals*  $I$ ; boundedness is exactly what breaks equality down to an envelope. **(C4)** We give an exactness theory for binary state whose organizing fact is that *the local geometry of the value function at the prior sets the correlation exponent*. For finite action sets (polyhedral value functions) the value of a delayed sample is exactly a sum of *hinges* in the lag- $D$  covariance, with sign-dependent dead-zone thresholds — linear response beyond, identically zero within; for smooth objectives (e.g. squared-error prediction, where exactly  $\Delta = C(D)^2/\pi(1-\pi)$ ) the response is *quadratic*; and a prior sitting on a kink — the companion’s symmetric case — is the unique configuration with threshold-free linear response (§6). The dead zone is the sharp polyhedral form of the Radner–Stiglitz nonconcavity of the value of information [13]: for asymmetric states under a polyhedral objective, weakly-correlated feedback is *worthless*, not merely weak, and the sign of the correlation matters. **(C5)** We order the three envelopes (mixing, information, bit-budget) below the master total-variation envelope and prove mixing and information are incomparable — for every lag and every  $K$ , a *preview process* keeps  $\beta(D) \geq \frac{1}{2}$  while the information envelope, and the true value, vanish with  $K$  (§5). **(C6)** A nine-series battery across four physical domains bounds any undetected history excess within a registered equivalence margin where surrogates predict none, observes the envelope’s tightness, and — read backwards — uses the theorem as a certified witness of history information on non-Markov series, always through a one-sided lower confidence bound:  $I(X_t; \text{history}) \geq 2[(\hat{\Delta} - \varepsilon)^+]^2$  (§7).

The scope is stated precisely: this is a unified theory for *exogenous one-step bounded-reward decisions* under delay — the action does not move the state, the reward is single-stage. Within that scope the theory is closed on itself: one decision-theoretic object explaining an exact systems law, envelopes ordered by what they require (a model, samples, or a bit rate), sharpness results tying envelope to law, impossibility results delimiting both, and a falsifiable empirical program run on real processes from four physical domains.

## 2 Setting and the exact object

Let  $X$  be the current exogenous state taking values in a finite set  $\mathcal{X}$ , with marginal  $\bar{\mu}$ . A controller observes a delayed quantity  $Y$  (a delayed sample  $X_{t-D}$ , a delayed history, or any  $\sigma(\mathcal{F}_{\leq t-D})$ -measurable statistic), chooses an action  $w$ , and receives a bounded one-step reward  $R(w, x)$  with

oscillation  $\Omega = \max_{w,x} R - \min_{w,x} R$ . Define the value of a belief  $\mu \in \Delta(\mathcal{X})$ :

$$\psi(\mu) = \max_w \sum_x R(w, x) \mu(x),$$

a pointwise maximum of linear functionals, hence convex; and the posterior  $\mu_Y = \mathbb{P}(X \in \cdot \mid Y)$ , with  $\mathbb{E}[\mu_Y] = \bar{\mu}$  by the tower property. The optimal  $Y$ -measurable controller attains  $V_Y^* = \mathbb{E}[\psi(\mu_Y)]$ ; the best static controller attains  $V_{\text{stat}} = \psi(\bar{\mu})$ . The exact object of this paper is the **Bayes envelope**

$$\Delta_Y = V_Y^* - V_{\text{stat}} = \mathbb{E}[\psi(\mu_Y)] - \psi(\bar{\mu}) \geq 0, \quad (1)$$

nonnegative by Jensen. Everything that follows is an envelope on (1); the companion paper's exact law is the case where (1) admits a closed form.

**Lemma 1** (Lipschitz value [1, App. A]).  $|\psi(\mu) - \psi(\mu')| \leq \Omega \|\mu - \mu'\|_{\text{TV}}$ , hence  $\Delta_Y \leq \Omega \mathbb{E}\|\mu_Y - \bar{\mu}\|_{\text{TV}}$ .

The total-variation route specializes to the  $\beta$ -mixing converse of [1] when  $Y$  is the full delayed history:  $\Delta(D) \leq \Omega \beta(D)$ .

### 3 The predictive-information envelope

**Theorem 2** (Predictive-information bound). *For any bounded objective with oscillation  $\Omega$  and any delayed observable  $Y$ ,*

$$0 \leq \Delta_Y \leq \Omega \sqrt{\frac{1}{2} I(X; Y)} \quad (I \text{ in nats; in bits, } \Omega \sqrt{\frac{\ln 2}{2} I_{\text{bits}}}). \quad (2)$$

*Proof.* By Lemma 1,  $\Delta_Y \leq \Omega \mathbb{E}\|\mu_Y - \bar{\mu}\|_{\text{TV}}$ . Pinsker's inequality gives, for every realization  $y$ ,  $\|\mu_y - \bar{\mu}\|_{\text{TV}} \leq \sqrt{\frac{1}{2} D_{\text{KL}}(\mu_y \parallel \bar{\mu})}$ . Taking the expectation over  $Y$  and applying Jensen to the concave square root,

$$\mathbb{E}\|\mu_Y - \bar{\mu}\|_{\text{TV}} \leq \mathbb{E}\sqrt{\frac{1}{2} D_{\text{KL}}(\mu_Y \parallel \bar{\mu})} \leq \sqrt{\frac{1}{2} \mathbb{E} D_{\text{KL}}(\mu_Y \parallel \bar{\mu})} = \sqrt{\frac{1}{2} I(X; Y)},$$

the last equality being the definition of mutual information as the expected KL divergence of posterior from prior.  $\square$

**Corollary 3** (Bit-limited telemetry). *Suppose the delivered observation satisfies  $H(Y) \leq b \ln 2$  nats (in particular, whenever  $Y$  takes at most  $2^b$  values, or is the output of a prefix code of expected length  $\leq b$  bits). Then*

$$\Delta_Y \leq \Omega \min\left\{1, \sqrt{(b \ln 2)/2}\right\},$$

*the clip because the trivial range bound  $\Delta_Y \leq \Omega$  beats the square root already at  $b \geq 3$  bits.*

**Lemma 4** (Garbling never helps: value monotonicity). *If  $Y = g(Z)$  (deterministically or through any channel acting on  $Z$  alone), then  $\Delta_Y \leq \Delta_Z$ , and also  $\Delta_Y \leq \Omega \sqrt{\frac{1}{2} I(X; Z)}$ .*

*Proof.*  $\mu_Y = \mathbb{E}[\mu_Z \mid Y]$  by the tower property, so convexity of  $\psi$  and Jensen give  $\mathbb{E}\psi(\mu_Y) \leq \mathbb{E}\psi(\mu_Z)$ ; subtract  $\psi(\bar{\mu})$ . The second claim is Theorem 2 plus data processing ( $I(X; Y) \leq I(X; Z)$ ). Note the two statements are different in kind: data processing alone bounds only the information *envelope*; the Jensen step bounds the *value itself* — the Blackwell comparison-of-experiments order [12] specialized to garbled delayed sensing. Together: compression can preserve feedback value; no encoding of the delayed signal can create it.  $\square$

**Proposition 5** (Leading-order tightness in the canonical case). *For a stationary fair binary pair with lag- $D$  correlation  $r = r(D)$ ,*

$$I(X_t; X_{t-D}) = \frac{1}{2} [(1+r) \ln(1+r) + (1-r) \ln(1-r)] = \frac{r^2}{2} + \frac{r^4}{12} + O(r^6),$$

*an even function of  $r$ , and the exact single-sample value of the 0/1 prediction objective is  $\Delta(D) = \frac{1}{2}|r(D)|$  (negative correlation is exploited by reversing the prediction). The right side of (2) equals  $\Omega(\frac{|r|}{2} + O(|r|^3))$ : the envelope matches the exact law to leading order at  $\Omega = 1$ . (The companion's persistent-chain assumption — flip probability  $\leq \frac{1}{2}$  — gives  $r \geq 0$  and its statement  $\frac{1}{2}r$ ; we carry the absolute value throughout.) The information envelope is not loose where it matters.*

*Proof.* The joint distribution places mass  $\frac{1+r}{4}$  on each agreeing pair and  $\frac{1-r}{4}$  on each disagreeing pair; the stated  $I$  follows by direct computation, and the expansion from  $(1 \pm r) \ln(1 \pm r) = \pm r + \frac{r^2}{2} \mp \frac{r^3}{6} + \dots$ . Then  $\sqrt{\frac{1}{2}I} = \frac{r}{2} \sqrt{1 + \frac{r^2}{6}} + O(r^4)$ .  $\square$

## 4 No universal equality $\Delta = f(I)$

**Proposition 6** (Information is a scalar; value is a geometry). *There is a state space, a bounded objective, and two observations  $Y_1, Y_2$  with  $I(X; Y_1) = I(X; Y_2) > 0$  but  $\Delta_{Y_1} = \frac{\Omega}{2} > 0 = \Delta_{Y_2}$ . Hence no function  $f$  with  $\Delta_Y = f(I(X; Y))$  exists for all experiments.*

*Proof.* Let  $X = (B_1, B_2)$  be two independent fair bits and let the objective depend only on  $B_1$ : actions  $w \in \{0, 1\}$ ,  $R(w, x) = \Omega \mathbf{1}[w = B_1]$  (so the oscillation is  $\Omega$ ). Static value:  $\Omega/2$ . Let  $Y_1 = B_1$  and  $Y_2 = B_2$ . Both have  $I(X; Y_i) = \ln 2$ . Observing  $Y_1$  yields  $V^* = \Omega$ , so  $\Delta_{Y_1} = \Omega/2$ ; observing  $Y_2$  leaves the posterior over  $B_1$  uniform, so  $\Delta_{Y_2} = 0$ . The two experiments share every information quantity in  $I(X; Y)$  yet differ maximally in value: the envelope (2) is attained within a constant on one and vacuous on the other.  $\square$

**Remark 7.** *This is the precise sense in which the companion paper's binary law is special: there the state is one decision-relevant bit, so the geometry collapses to a one-parameter family and the envelope inverts to an exact closed form. The general exact object remains (1).*

## 5 Envelope comparison

The three envelopes are not interchangeable, and their relationship is an ordered pair of relaxations of one master quantity.

**Proposition 8** (Master envelope and universal ordering). *For any delayed observable  $Y$  measurable w.r.t. the delayed history  $\mathcal{F}_{\leq t-D}$ ,*

$$\Delta_Y \leq \Omega \mathbb{E} \|\mu_Y - \bar{\mu}\|_{\text{TV}} \leq \Omega \min \left\{ \beta(D), \sqrt{\frac{1}{2} I(X; Y)} \right\},$$

*where  $\beta(D)$  is the  $\beta$ -mixing coefficient of the state process at lag  $D$ . The expected posterior movement  $\mathbb{E} \|\mu_Y - \bar{\mu}\|_{\text{TV}}$  is the master envelope; the mixing and information envelopes are its two relaxations.*

*Proof.* The first inequality is Lemma 1. For the second: since  $Y$  is  $\mathcal{F}_{\leq t-D}$ -measurable and  $\sigma(X) \subseteq \mathcal{F}_{\geq t}$ , conditioning on the coarser  $Y$  can only shrink expected posterior movement, and  $\mathbb{E} \|\mu_{\mathcal{F}_{\leq t-D}} - \bar{\mu}\|_{\text{TV}} \leq \beta(D)$  because the  $\beta$ -coefficient takes its supremum over the larger future field [1, App. A]. The information relaxation is the Pinsker step in the proof of Theorem 2.  $\square$

Throughout, we use the companion's event-supremum convention

$$\beta(D) = \mathbb{E} \left[ \sup_{B \in \mathcal{F}_{\geq t}} |\mathbb{P}(B \mid \mathcal{F}_{\leq t-D}) - \mathbb{P}(B)| \right],$$

which lower-bounds the absolute-regularity coefficient; conventions differ by factors of two across the literature, and every displayed constant below is tied to this one. Lower bounds on this  $\beta$  are what vacuousness of the mixing envelope requires.

**Proposition 9** (The two relaxations are incomparable). *Neither relaxation dominates the other.*

- (i) Mixing strictly tighter: *for the symmetric two-state chain with  $Y = X_{t-D}$ ,  $\beta(D) = \frac{1}{2}|r|$  while  $\sqrt{\frac{1}{2}I} = \frac{|r|}{2} \sqrt{1 + \frac{r^2}{6} + O(r^4)} > \beta(D)$  for every  $|r| \in (0, 1)$ .*
- (ii) Information arbitrarily tighter: *for every fixed lag  $D$  and every  $K \geq 2$  there is a stationary state process and bounded objective with*

$$\beta(D) \geq \frac{1}{2}, \quad I(X_t; \mathcal{F}_{\leq t-D}) \leq h_2(1/K) + \frac{\ln 2}{K} \xrightarrow{K \rightarrow \infty} 0, \quad \Delta = \frac{\Omega}{2K},$$

where  $h_2$  is the binary entropy in nats: the mixing envelope stays  $\geq \Omega/2$  while the information envelope, and the true value, vanish.

*Proof.* (i) is Proposition 5 together with  $\beta(D) = \frac{1}{2}|r(D)|$  for the binary chain (Appendix A). (ii) The preview process (one per  $(D, K)$ ). Fix  $D$  and  $K$ , set  $m = D + K$ . Let  $c_t$  be i.i.d. fair bits, let  $\Theta \sim \text{Unif}\{0, \dots, K-1\}$  be an independent phase (randomized to make the pair stationary), and let the observable state be  $X_t = (c_t, p_t)$  with

$$p_t = \begin{cases} c_{t+m} & t \equiv \Theta \pmod{K} \\ \perp & \text{otherwise,} \end{cases}$$

a sensor that occasionally publishes a *forecast*  $m$  steps ahead. The objective depends only on the current payoff bit:  $R(w, x) = \Omega \mathbf{1}[w = c]$ . *Mixing (lower bound).* The window  $[t - m, t - D]$  has length  $K$ , hence contains exactly one preview slot  $s \equiv \Theta$ ; that preview is in the delayed past and reveals  $c_{s+m}$  with  $s+m \in [t, t+K]$ , a present-or-future payoff bit. The event  $B = \{c_{s+m} = 1\} \in \mathcal{F}_{\geq t}$  then has conditional probability in  $\{0, 1\}$  against marginal  $\frac{1}{2}$ , so  $\beta(D) \geq \frac{1}{2}$ . (Previews shared between past and future create further dependence; we claim only the lower bound, which is what vacuousness of the mixing envelope needs.) *Information (upper bound).*  $X_t$  is determined by the triple (payoff bit  $c_t$ ; slot indicator  $\mathbf{1}[t \equiv \Theta]$ ; preview value when present, a *future* bit independent of the past). The delayed history reveals the slot indicator (it determines  $\Theta$ ) and reveals  $c_t$  itself exactly when  $t - m \equiv \Theta$  (probability  $1/K$ ); hence  $I(X_t; \mathcal{F}_{\leq t-D}) \leq h_2(1/K) + \frac{\ln 2}{K}$ . *Value.* Feedback wins  $\Omega/2$  on the revealed fraction  $1/K$  and nothing elsewhere:  $\Delta = \Omega/(2K)$ . The information envelope  $\Omega \sqrt{(h_2(1/K) + \ln 2/K)/2}$  decays with  $K$  (rate  $\tilde{O}(K^{-1/2})$  against the true  $K^{-1}$  — loose, but not blind); the mixing envelope does not decay at all.  $\square$

**Remark 10** (Why keep the information form at all). *Proposition 8 shows the TV master envelope is always at least as tight, and (i) shows mixing can beat information. Three properties are the information envelope's own: it is estimable — the plug-in  $\hat{I}(X_t; X_{t-D})$  in §7 needs only pair counts, while the  $\beta$ -coefficient's supremum over the future  $\sigma$ -field is not estimable without a process model; it composes with channels — data processing gives Corollary 3, and no analogous statement exists for  $\beta$  (mixing has no channel semantics); and it adds across sensors via the chain rule, giving budget statements for multi-sensor telemetry. In short: mixing is the sharper analysis tool when a model is in hand; information is the operational one when only data or a bit budget is.*

| Envelope    | Bound on $\Delta_Y$                                   | Needs             | Blind spot                             |
|-------------|-------------------------------------------------------|-------------------|----------------------------------------|
| master (TV) | $\Omega \mathbb{E} \ \mu_Y - \bar{\mu}\ _{\text{TV}}$ | posterior process | not estimable directly                 |
| mixing      | $\Omega \beta(D)$                                     | process model     | future events beyond $X_t$ (Prop. 9ii) |
| information | $\Omega \sqrt{I(X; Y)/2}$                             | pair samples      | decision geometry (Prop. 6)            |
| bit budget  | $\Omega \sqrt{(b \ln 2)/2}$                           | channel rate only | everything but the rate                |

Table 1: The envelope family. The structure is a *branching*, not a hierarchy: both mixing and information relax the master TV envelope, in incomparable directions (Proposition 9), and the bit budget further relaxes the information branch via Lemma 4:  $\text{TV} \rightarrow \{\text{mixing}; \text{information} \rightarrow \text{bit budget}\}$ . Each branch trades knowledge for tightness in its own currency; the battery of §7 measures the first three on real processes.

## 6 Exactness: a complete account for binary state, and its limits

When does the Bayes envelope admit a closed form — an exact *law* rather than an envelope? For binary state the answer is: always, and the form is a hinge.

**Theorem 11** (The hinge law, polyhedral case). *Let  $X_t \in \{0, 1\}$  be stationary with  $\pi = \mathbb{P}(X_t=1) \in (0, 1)$ , let  $Y = X_{t-D}$ , and write  $C = C(D) = \text{Cov}(X_t, X_{t-D})$ . Assume the action set is finite — or, more generally, that the value function  $\psi(p) = \sup_w [pR(w, 1) + (1-p)R(w, 0)]$  is polyhedral (a maximum of finitely many affine functions of the belief), with kinks  $p_1^* < \dots < p_K^*$  and slope jumps  $\Delta s_k > 0$ . Then, exactly,*

$$\Delta(C) = \begin{cases} \sum_k \Delta s_k (C - a_k^+)^+, & C \geq 0, \\ \sum_k \Delta s_k ((-C) - a_k^-)^+, & C < 0, \end{cases} \quad \begin{aligned} a_k^+ &= \begin{cases} (p_k^* - \pi)\pi, & p_k^* \geq \pi, \\ (\pi - p_k^*)(1 - \pi), & p_k^* < \pi, \end{cases} \\ a_k^- &= \begin{cases} (p_k^* - \pi)(1 - \pi), & p_k^* \geq \pi, \\ (\pi - p_k^*)\pi, & p_k^* < \pi. \end{cases} \end{aligned}$$

$\Delta$  is piecewise-linear and nondecreasing in  $|C|$  on each covariance-sign branch, identically zero on the branch dead zone; unless  $\pi = \frac{1}{2}$  or the kink set is symmetric about  $\pi$ , the two branches differ — positive and negative correlation of the same magnitude can have different value, one of them zero.

*Proof.* Write  $\psi(p) = \psi(p_1^*) + s_0(p - p_1^*) + \sum_k \Delta s_k (p - p_k^*)^+$  (polyhedral by hypothesis). Observing  $Y$  produces the two-point posterior  $p_1 = \pi + C/\pi$  (w.p.  $\pi$ ) and  $p_0 = \pi - C/(1 - \pi)$  (w.p.  $1 - \pi$ ), whose mean is  $\pi$ ; the affine part of  $\psi$  cancels in  $\Delta = \mathbb{E}[\psi(p_Y)] - \psi(\pi)$ , leaving  $\Delta = \sum_k \Delta s_k \{\mathbb{E}(p_Y - p_k^*)^+ - (\pi - p_k^*)^+\}$ . Fix  $k$ . For  $C \geq 0$  ( $p_0 \leq \pi \leq p_1$ ): if  $p_k^* \geq \pi$ ,  $\mathbb{E}(p_Y - p_k^*)^+ = \pi(p_1 - p_k^*)^+ = (C - (p_k^* - \pi)\pi)^+$  and  $(\pi - p_k^*)^+ = 0$ ; if  $p_k^* < \pi$ , the pointwise identity  $(x)^+ - x = (-x)^+$  gives  $\mathbb{E}(p_Y - p_k^*)^+ - (\pi - p_k^*) = \mathbb{E}(p_k^* - p_Y)^+ = (1 - \pi)(p_k^* - p_0)^+ = (C - (\pi - p_k^*)(1 - \pi))^+$ . For  $C < 0$  the posteriors trade places ( $p_1 < \pi < p_0$ ): if  $p_k^* \geq \pi$ , only  $p_0$  can exceed the kink and  $\mathbb{E}(p_Y - p_k^*)^+ = (1 - \pi)(p_0 - p_k^*)^+ = ((-C) - (p_k^* - \pi)(1 - \pi))^+$ ; if  $p_k^* < \pi$ , the same identity gives  $\pi(p_k^* - p_1)^+ = ((-C) - (\pi - p_k^*)\pi)^+$ . Summing over  $k$  gives the two branches.  $\square$

### 6.1 Smooth objectives: quadratic response, and the trichotomy

The polyhedral hypothesis is not decoration. For a continuous action set  $\psi$  is a supremum of *infinitely* many affine functions and need not be piecewise-linear, and the hinge law fails — constructively:



**Proposition 12** (Squared-error prediction: exactly quadratic). *For  $w \in [0, 1]$  and  $R(w, x) = -(w - x)^2$  (oscillation  $\Omega = 1$ ),  $\psi(p) = -p(1 - p)$  is smooth and strictly convex, and, exactly,*

$$\Delta(D) = \text{Var}(p_Y) = \frac{C(D)^2}{\pi(1 - \pi)} :$$

*quadratic in the covariance, no hinge, no dead zone, for every  $\pi$ . More generally, whenever  $\psi$  is twice continuously differentiable near  $\pi$ ,*

$$\Delta(D) = \frac{1}{2} \psi''(\pi) \text{Var}(p_Y) + o(C^2) = \frac{\psi''(\pi)}{2\pi(1 - \pi)} C(D)^2 + o(C(D)^2).$$

*Proof.* The optimal action under belief  $p$  is  $w = p$ , so  $\psi(p) = -p(1 - p) = p^2 - p$ ; then  $\Delta = \mathbb{E}[\psi(p_Y)] - \psi(\pi) = \mathbb{E}[p_Y^2] - \pi^2 = \text{Var}(p_Y)$ , exact because  $\psi$  is quadratic, and  $\text{Var}(p_Y) = \pi(C/\pi)^2 + (1 - \pi)(C/(1 - \pi))^2 = C^2/\pi(1 - \pi)$ . The general statement is the second-order Taylor expansion of  $\psi$  at  $\pi$  against the mean- $\pi$  posterior spread.  $\square$

**Remark 13** (The trichotomy: local decision geometry sets the correlation exponent). *The cases exhaust the local behaviours of a convex  $\psi$  at the prior, and each fixes how weak dependence buys value: prior on a kink  $\Rightarrow$  linear response  $\Delta \propto |C|$ ; prior interior to a flat piece  $\Rightarrow$  dead zone,  $\Delta = 0$  until a threshold; smooth curvature  $\Rightarrow$  quadratic response  $\Delta \propto C^2$ . The companion's law is the first case — symmetry puts the prior on the decision kink, the unique threshold-free polyhedral configuration. The dead zone is the sharp polyhedral form of the Radner–Stiglitz nonconcavity of the value of information [13], whose smooth setting is our third case (zero marginal value at zero information, but not identically zero). And the sign-dependence of Theorem 11 means even the direction of correlation matters away from symmetry: with  $\pi = 0.2$  and one kink at  $p^* = 0.3$ , covariance  $+0.03$  clears its threshold  $(0.1)(0.2) = 0.02$  and has value, while  $-0.03$  sits inside its threshold  $(0.1)(0.8) = 0.08$  and is worthless.*

**Corollary 14** (The companion law, and why it is threshold-free). *For the symmetric chain ( $\pi = \frac{1}{2}$ ) with the 0/1 prediction objective ( $K=1$ ,  $p^* = \frac{1}{2}$ ,  $\Delta s = 2$ ):  $C^* = 0$  and  $C(D) = \frac{1}{4}r(D)$ , so  $\Delta(D) = 2 \cdot \frac{1}{4}r(D) = \frac{1}{2}r(D)$  — the exact law of [1]. Symmetry places the prior on the kink, which is the unique configuration with no dead zone; the linear-in- $r$  law is the degenerate hinge.*

**Remark 15** (The dead zone is a prediction, not a curiosity). *For  $\pi \neq p^*$  the hinge says weakly-correlated delayed feedback is worthless — not slightly valuable — until  $|C(D)|$  crosses  $C^*$ : below threshold, both posteriors fall on one side of the decision kink and the optimal action never changes. Operationally: a rare-event admission controller ( $\pi$  small,  $p^*$  moderate) gains nothing from telemetry until its sensing age satisfies  $|C(D)| > (p^* - \pi)\pi$  — an exact, testable cutoff for when to stop paying for freshness at all. None of the envelopes of §5 see this: the dead zone is a fact about geometry (posteriors vs. kink), which is precisely what scalar information summaries discard (Proposition 6).*

**Remark 16** (Beyond two states: the layer-cake lift, and the boundary). *The companion's layer-cake result [1, Prop. 2] lifts binary exactness to capacities  $a_t \in \{0, \dots, C\}$  with monotone threshold objectives: the objective decomposes over layer indicators  $x_t^u = \mathbf{1}[a_t \geq u]$  and the total advantage is the exact sum  $\Delta(D) = \sum_u \pi_u r_u(D)$  — each layer a binary experiment, each governed by its hinge (there with symmetric thresholds, so zero dead zones). The boundary of exactness is now visible from both sides: exact laws hold precisely when the posterior family is effectively one-dimensional (a scalar belief per layer, moved along a line by the observation); the two-bit construction of Proposition 6 is the minimal experiment whose posterior geometry is genuinely two-dimensional, and there the value ceases to be a function of any scalar summary of dependence — correlation or information alike.*

## 7 The law and its envelopes across domains

The companion paper had room for one paragraph of this study; the full protocol and results are reported here. The question has two halves. First, *single-sample sufficiency*: on real binary state processes, does history beyond the single delayed sample add decision value beyond the *exact empirical single-sample Bayes value* — computed from the pooled  $2 \times 2$  lag table with no symmetry assumption, so that Theorem 11’s imbalance effects (dead zones included) are carried automatically? Second, *the envelope*: does the measured value respect, and how tightly does it approach, the predictive-information bound of Theorem 2?

### 7.1 Protocol

**States.** Binary regime series from four physical domains plus controls: acoustic source azimuth and voice activity (LOCATA, 120 Hz); sperm-whale coda type (Dominica corpus, per-exchange); GOES space-weather series (X-ray flux, magnetometer, proton flux; 1–5-minute cadence); seismic station regime (ANMO, 1-minute); a synthetic two-state Markov chain (flip probability 0.02) as positive reference; an i.i.d. fair-bit series as null. Each series is binarized by the domain’s registered thresholding (the companion study’s preparation scripts, unchanged).

**The two estimands.** For each lag  $D$  on a per-domain grid: (i) the *exact empirical single-sample Bayes value*  $\hat{V}_1(D) = \sum_y \hat{w}_y \max(\hat{p}_y, 1 - \hat{p}_y) - \max(\hat{\pi}, 1 - \hat{\pi})$ , the plug-in of (1) for  $Y = X_{t-D}$  computed from the pooled lag table — for a balanced series this is  $\frac{1}{2}|r(D)|$ , and for an imbalanced one it carries Theorem 11’s thresholds automatically (the per-domain class proportion  $\hat{\pi}$  is reported alongside); (ii) the value of the best *delayed-history* policy: a  $k=6$ -lag lookup predictor trained and evaluated by blocked cross-validation (5 folds, contiguous blocks), reported as accuracy above the *best static (majority) policy*  $\max(\hat{\pi}, 1 - \hat{\pi})$  — the correct static benchmark; accuracy above  $\frac{1}{2}$  overstates value whenever  $\hat{\pi} \neq \frac{1}{2}$ . The *history gain* is the difference (ii)–(i).

**Surrogate calibration.** The null for “history adds nothing beyond the law” is a population of 60 Markov surrogates per domain, each matched to the real series’ lag-1 transition probabilities and evaluated by the identical pipeline, with  $M = 299$  surrogates. Significance uses the exact Monte Carlo form  $p = (1 + \#\{T_j \geq T_{\text{obs}}\})/(M + 1)$  (smallest reportable value  $1/300 \approx 0.0033$ ; entries at that floor are written  $p < .004$ , never .00), together with the companion study’s practical floor of 0.03 on the effect. Because each surrogate is Markov, its *true* history gain is zero and its own exact  $\hat{V}_1$  is computable from its lag table, so the  $M$  surrogate gain estimates form a genuine sample of the pipeline’s *estimation error under matched dependence*; its 95th percentile  $\varepsilon_{\text{dom}}$  calibrates every one-sided bound below. *Non-rejection is not exactness*: where the test does not fire, we report the one-sided upper confidence bound  $U = \text{gain}_{\text{max}} + \varepsilon_{\text{dom}}$  and claim “no detectable excess (equivalent within the margin)” only when  $U < 0.03$ .

**The envelope measurement.** For each domain and lag, the plug-in mutual information  $\hat{I}(X_t; X_{t-D})$  from pooled pair counts ( $2 \times 2$ ; plug-in bias  $\leq 3/(2N)$  nats, negligible at the pooled sample sizes reported) and the envelope  $\sqrt{\hat{I}/2}$  of Theorem 2. Two registered uses. *Forward* (envelope check):  $\hat{\Delta}_{\text{hist}}(D) \leq \sqrt{\hat{I}(D)/2} + \varepsilon_{\text{dom}}$  — an apparent violation smaller than the matched-dependence noise is estimator noise, not physics. *Backward* (certified witness): a policy value is converted into an information lower bound only through its one-sided *lower* confidence bound,

$$I(X_t; \text{window}) \geq 2 [(\hat{\Delta}_{\text{hist}} - \varepsilon_{\text{dom}})^+]^2,$$

never through the raw point estimate, whose positive noise would inflate the certificate.



## 7.2 Results

Table 7.2 reports the corrected battery (v4): per domain, the class proportion  $\hat{\pi}$ ; the maximum history gain over the exact single-sample Bayes value  $\hat{V}_1$ ; the exact Monte Carlo  $p$  ( $M=299$ ; floor 1/300, written  $< .004$ ); the matched-dependence noise bound  $\varepsilon_{\text{dom}}$ ; the equivalence bound  $U = \text{gain}_{\text{max}} + \varepsilon_{\text{dom}}$  (margin 0.03); the maximum excess of the history policy over the single-lag envelope, with certification only when it clears  $\varepsilon_{\text{dom}}$ ; and the certified window-information lower bound  $2[(\hat{\Delta}_{\text{hist}} - \varepsilon_{\text{dom}})^+]^2$  where applicable.

| Domain                 | $\hat{\pi}$ | $\text{gain}_{\text{max}}$ | $p$    | $\varepsilon_{\text{dom}}$ | $U$  | env. excess   | verdict                         |
|------------------------|-------------|----------------------------|--------|----------------------------|------|---------------|---------------------------------|
| Two-state Markov (ref) | .470        | +0.000                     | .78    | .006                       | .007 | −.007         | equivalent                      |
| i.i.d. null (control)  | .497        | +0.012                     | .023   | .011                       | .023 | +0.009        | below floor                     |
| LOCATA azimuth         | .494        | +0.008                     | .063   | .009                       | .016 | −.026         | equivalent                      |
| LOCATA VAD             | .636        | −.000                      | .82    | .052                       | .052 | −.027         | no excess detected <sup>†</sup> |
| Sperm-whale codas      | .483        | +0.046                     | 1.0    | .117                       | .164 | +0.027        | no excess detected <sup>†</sup> |
| GOES protons           | .489        | +0.029                     | .11    | .033                       | .063 | +0.021        | no excess detected <sup>†</sup> |
| GOES X-ray flux        | .421        | +0.028                     | < .004 | .008                       | .036 | −.008         | detected, below floor           |
| GOES magnetometer      | .456        | +0.033                     | < .004 | .010                       | .043 | −.004         | history adds (at floor)         |
| Seismic ANMO           | .508        | +0.158                     | < .004 | .014                       | .171 | <b>+0.148</b> | history adds (certified)        |

endtabular

Table 2: Battery v4 (corrected protocol; `battery_v4.json`). “Equivalent” =  $U < 0.03$ ; <sup>†</sup>“no excess detected” = test does not fire but  $U \geq 0.03$ , so equivalence is *not* established (noise-limited) — a distinction the uncorrected protocol could not express. Bold: the only envelope excess that clears the matched-dependence noise bound. Pooled pair counts range from 2.0k (protons) to 21k (azimuth) per lag.

Four readings, in increasing order of consequence.

**The corrections bite exactly where the review predicted.** Under the chance baseline (v3), four series appeared to carry history value beyond the single sample (gains 0.100–0.367, all “ $p = .00$ ”). Under the majority baseline and exact  $\hat{V}_1$ : LOCATA VAD’s gain *vanishes* (+0.100 → −0.000,  $p = .82$ ;  $\hat{\pi} = .636$  — the entire effect was the majority-class head start), GOES X-ray shrinks 0.185 → 0.028 (below the practical floor;  $\hat{\pi} = .421$ ), magnetometer 0.147 → 0.033 (at the floor), and only seismic survives at strength (0.367 → 0.158). Imbalance, not history, carried most of the apparent excess — and the sub-unity envelope ratios of v3 disappear with it (all balanced-domain tightness ratios now sit at 1.11–1.35, on the Pinsker side of unity, exactly as population theory requires).

**Single-sample sufficiency is the rule.** On eight of nine series the delayed single sample, evaluated exactly (majority baseline, dead zones included), captures all detectable feedback value at the battery’s resolution — with the equivalence bound  $U < 0.03$  certified for the balanced, well-sampled series (Markov reference, azimuth) and the weaker “no excess detected” verdict, honestly labelled, where noise is wide (short whale exchanges, sparse protons).

**The dead zone is observed.** The imbalanced GOES series realize Theorem 11 in the wild: X-ray ( $\hat{\pi} = .421$ , kink at  $\frac{1}{2}$ , threshold  $C^* \approx 0.033$ ) has  $\hat{V}_1$  *exactly zero* across its moderate-covariance lags — the majority policy is unbeatable by any single delayed sample — while its plug-in information remains positive; its envelope-to-value ratio diverges ( $\gg 10^6$ ) not as an artifact but as the theorem’s geometry: *information without value*, Proposition 6 measured on a physical process. Freshness metrics, and information metrics alike, cannot see this; the Bayes envelope does.

**The certified witness stands — once.** Seismic regime is the one series where the history policy’s excess over the single-lag envelope clears the matched-dependence noise bound (+0.148 vs.

$\varepsilon = .014$ ), and its confidence-certified window-information bound is  $I(X_t; \text{window}) \geq 0.176$  nats — aftershock clustering carrying an order of magnitude more predictive information than the last sample alone ( $\hat{I}_1 \approx 0.002$  at the certifying lag). Magnetometer shows a small certified gain at the practical floor. The instrument reads in both directions, and under the corrected statistics its two directions are: equivalence, most places; certified history information, exactly where the physics says it should be.

## 8 Related work

*Value of information.* The Bayes envelope is the classical object of statistical decision theory [2, 4], and its convex geometry is charted territory: De Lara and Gossner [3] study the value function as a support function, characterize when information has positive value, and give local estimates near uninformative experiments. Our Lipschitz lemma instantiates their payoffs–beliefs duality; the hinge and dead-zone analysis of §6 is the exact delayed-binary specialization of that convex-analytic programme; the comparison-of-experiments order behind Lemma 4 is Blackwell’s [12]; and the Radner–Stiglitz nonconcavity [13] anticipates the dead zone in smooth form. The information envelope itself is assembled from textbook inequalities — kindred moves appear wherever bounded value must be controlled by divergence, e.g. the information-ratio regret analyses of Russo and Van Roy [11]. What we have not found elsewhere is the assembly this paper is about: the envelope *anchored to an exact law* (sharp to  $O(r^3)$ , with the  $O(r^2)$  correction observed on real data), its ordering against mixing envelopes with both separations constructed, and its inversion into a certified information witness.

*The logarithmic exception.* For log-utility gambling the value of side information *equals* mutual information: Kelly [5] for the growth rate, Barron and Cover [6] for the general bound  $\Delta \leq I$  with equality characterizations. Log utility is unbounded, escaping our  $\Omega$ -bounded class; the pair of results brackets the landscape — unbounded log utility buys equality, bounded utility only an envelope, and Proposition 6 shows the gap is essential, not technical.

*Age of information, and its critics.* AoI [7] treats freshness as the object, with sampling-policy results such as [8] optimizing age processes. That plain age is not decision significance is already argued *within* the field: age-of-incorrect-information replaces the clock with an error-aware penalty [14], explicit AoI-vs-VoI scheduling comparisons exist for networked control [15], and value-of-information metrics for feedback control have been quantified directly [16]. Our claim is accordingly not that age lacks decision semantics — that point is established — but sharper: for exogenous one-step bounded-reward decisions the exact semantic object is the posterior Bayes envelope, which admits a universal mutual-information converse, an explicit binary geometry (hinges, dead zones, quadratic regimes), and an operational inversion into predictive-information witnesses.

*Delayed information in control.* Delayed-sharing information structures go back to Witsenhausen [9] and are systematized by the common-information approach [10]; remote estimation studies the estimation face of the same trade [8]. Our setting is the tractable exogenous corner of that world — the action does not affect the state — which is exactly what makes closed forms and universal envelopes available.

*Predictive information.* Bialek, Nemenman and Tishby [17] study  $I(\text{past}; \text{future})$  as a measure of process complexity. Theorems 2 and 11 are, in that vocabulary, statements about what predictive information can and cannot buy a bounded-utility decision maker — with the battery’s witness bound  $I \geq 2\hat{\Delta}^2$  operating as a decision-theoretic estimator of predictive information from policy value alone.

## 9 Conclusion

The companion paper measured one exact law on one system. This paper locates that law inside a unified theory of exogenous one-step bounded-reward decisions under delay: value of delayed information is the Bayes envelope; the envelope is bounded by predictive information (universally), by mixing (given a model), and by the telemetry bit rate (given nothing); it is exactly a hinge in covariance for binary state, exactly a layered sum for monotone multi-state objectives, and exactly nothing — inside the dead zone — for asymmetric weakly-coupled sensing. Beyond one effective dimension, no scalar summary of dependence determines value at all. Each claim is falsifiable, and the nine-series battery exercises all of them: no history excess is detectable where the equivalence bound requires none, the envelope’s predicted tightness appears with its  $O(r^2)$  correction, and its violations, where the theory requires them, certify history information in nats. The instrument reads in both directions; that, more than any single inequality, is what we hope survives.

## A Companion results restated

For self-containedness we restate the companion results used above, with proofs where short; [1] is under submission and unavailable to a reviewer.

**Mixing coefficient.** Throughout,  $\beta(D) = \mathbb{E}[\sup_{B \in \mathcal{F}_{\geq t}} |\mathbb{P}(B \mid \mathcal{F}_{\leq t-D}) - \mathbb{P}(B)|]$  (event-supremum convention; a lower bound for the absolute-regularity coefficient, so the vacuousness results transfer conservatively).

**Binary chain.** For the symmetric two-state chain with flip probability  $p$  and  $r(D) = (1 - 2p)^D$ : conditioning on the delayed state moves the law of  $X_t$  by total variation  $\frac{1}{2}|r(D)|$  from either value of the conditioner, and the Markov property collapses the past to the delayed sample; hence  $\beta(D) = \frac{1}{2}|r(D)|$ . The exact value of the 0/1 prediction objective is  $\Delta(D) = \frac{1}{2}|r(D)|$ : predict the delayed state if  $r > 0$ , its complement if  $r < 0$ ; either beats the static  $\frac{1}{2}$  by half the correlation magnitude.

**Layer-cake lift (companion Prop. 2; statement and sketch).** For capacity  $a_t \in \{0, \dots, C\}$ , threshold indicators  $x_t^u = \mathbf{1}[a_t \geq u]$  with  $\pi_u = \mathbb{P}(x_t^u = 1)$ , and objectives that are positive combinations of per-layer threshold rewards (goodput minus over-admission surplus in the companion’s setting), the objective decomposes additively over layers via  $\min(w, a) = \sum_u \mathbf{1}[w \geq u] x_t^u$  and  $(w - a)^+ = \sum_u \mathbf{1}[w \geq u](1 - x_t^u)$ ; the age- $D$  optimum applies the per-layer binary policy (the delayed indicators, whose nesting is inherited from the observation), and the total advantage over the best comonotone static budget at matched surplus is  $\Delta(D) = \sum_u \pi_u r_u(D)$ ,  $r_u(D) = \text{corr}(x_t^u, x_{t-D}^u)$ .

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